

MANAGING CURRENCY

The process of currency management is also less known to the public. There are four currency presses in the country. Two are run by the Security Printing and Minting Corporation of India (SPMCIL), while two come under Mint Road's wholly-owned arm, the Bharatiya Reserve Bank Note Mudran Pvt. Ltd. (BRBNMPL). SPMCIL's facilities are in Nasik (Maharashtra) and Dewas (Madhya Pradesh) while BRBNMPL's are in Mysuru (Karnataka) and Salboni (West Bengal).

Currency management is done through the RBI's 19 Issue Offices (IOs) in Ahmedabad, Bengaluru, Belapur, Bhopal, Bhubaneswar, Chandigarh, Chennai, Guwahati, Hyderabad, Jaipur, Jammu, Kanpur, Kolkata, Lucknow, Mumbai, Nagpur, New Delhi, Patna, and Thiruvananthapuram. These IOs take delivery of freshly minted banknotes from the security presses and send them to CC locations. Commercial banks also maintain a network of CCs. There are also small coin depots. Interestingly, currency becomes a part of CiC only when it is taken out of CCs. The cash collected by the RBI as part of the cash reserve ratio—₹4 for every ₹100 in deposits—remains in CCs.

This brings us to the question of whether the authorities would open the CC business itself or opt for a common currency chest management solution; back-channel talks had been held by CITs with the central bank. Doing so will take care of an irritant. Banks with CCs tend to privilege their ATMs over those who operate white-label ATMs (units that are owned and operated by non-bank entities).

While cash has not lost currency yet in India, that does not indicate that the digital plot has gone off the rails. "The key thing to note is that the annual pace of increase in CiC has been slower due to the rapid deployment of digital payments in the economy. CiC (growth) is projected to decline further in FY25 and FY26," says Paras Jasrai, Associate Director, India Ratings & Research.

DIGITAL ON TRACK TOO

The RBI launched the Composite Digital Payments Index in January 2021 to track the growth and reach of digital payments. The index measures progress across five key areas: payment enablers, demand-side infrastructure, supply-side infrastructure, payment performance, and consumer focus.

The index is computed semi-annually with March 2018 as the base year. At the end of March 2024, it



ANUSH RAGHAVAN

PRESIDENT, CASH MANAGEMENT SYSTEMS, CMS INFO SYSTEMS

"India requires multiple robust payment systems. The ongoing transition to a formalised economy and increasing consumption will collectively drive the growth of all forms of payments"



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ASSOCIATE DIRECTOR, INDIA RATINGS & RESEARCH

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stood at 445.5 compared to 395.6 a year ago, driven by significant growth in payments performance and infrastructure. The RBI also found that the average value of retail digital payments fell to ₹4,560 in March 2024 from ₹8,769 in March, reflecting the growing popularity of digital modes for small payments.

And UPI is set to get a fillip. The RBI aims to boost flexibility in person-to-person (P2P) and person-to-merchant (P2M) payments. The limit for P2P UPI transactions is ₹100,000. On P2M transactions it varies between ₹200,000 and ₹500,000. These ceilings will now be revised upwards after the RBI gave its nod, indicating a greater number of high-value transactions. **BT**